

Directing innovation

In addition to incremental and radical changes, innovation can be defined by direction—by what is being changed. An organization can innovate its product, its process, its market position, or its business model. Together with incremental and radical innovation, these give an idea of your “innovation space” and help you decide where to innovate.

TIP

CONSIDER ALL OPTIONS

Keep reviewing the performance of your organization in all four directions, so you are always aware of the potential for innovation.

Products and processes

The most obvious areas of innovation are in what you produce and how you produce it. Product or service innovation can mean improving existing models—such as producing the latest CD player—or introducing something new—such as the first MP3 player. Process innovation can involve improving current processes—reducing waste, increasing efficiency—or changing the way you operate—such as switching from paper to digital correspondence.

The four innovation directions

CHANGING METHODS

The process—the way you create and deliver the product or service.

CHANGING WHAT IS OFFERED

The product or service—what you offer to the world.

